

This excerpt is revealing because it describes, as experimentally observed, one of the irrational financial behaviors that can occur as a result of mental accounting. When people fail to consistently value their wealth—when, for example, their demonstrated risk aversion varies according to a criterion as arbitrary as endowment size—they distinguish themselves sharply from *Homo economicus*. Moreover, they sometimes place their own financial security at risk.

DIAGNOSTIC TESTING

These questions are designed to detect signs of cognitive bias stemming from mental accounting. To complete the test, select the answer choice that best characterizes your response to each item.

Mental Accounting Bias Test

Question 1—Part A: Suppose that you are at a warehouse store, where you intend to purchase a flat screen television. The model you've selected is priced at \$750, and you are about to pay. However, at the last minute, you notice a discarded advertising flier featuring the same television—at a price of \$720. You retrieve the ad, examine it more closely, and discover that the offer is still valid. To receive the discount, you'll need to drive to a competing electronics outlet about 10 minutes away. Will you get into your car and travel to the other store to take advantage of the lower price?

- a. Yes.
- b. No.

Question 1—Part B: Now suppose that you are in the same warehouse store, this time to buy a mahogany table. The table that you want costs \$4,000, and you are willing to pay. While you are waiting, you strike up a conversation with another store patron, who reveals that she's seen the same table available for \$3,970 at a competing local furniture store about 10 minutes away. Will you get into your car and drive to the other store to obtain the lower price?

- a. Yes.
- b. No.

Question 2—Part A: Suppose that you have purchased a ticket to a concert by your favorite music artist. You arrive at the venue excited, but quickly panic as you realize that you have misplaced your